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Purpose of Property: **INVESTMENT**

Maheshwari has a couple of property investments in and around Bangalore. One of his investments is in a marquee project in Whitefield, a suburb on the outskirts of the IT hub (11 km from MG Road). While Maheshwari has been paying the EMIS on this property for three years, the value has not significantly appreciated even though the flat will be ready for possession by December.

"Whitefield is facing a situation of oversupply. My returns would have been more if I had parked the money in a fixed deposit. The prices will appreciate once the metro project comes up."

"Oversupply in certain areas has resulted in poor demand and builders there will find the going tough."

AMIT BAGARIA
MD, ASIPAC

downward curve. The competition is now between developers setting up new projects and investors who are offering flats at rates cheaper than the developers in the hope of exiting before the feared crash. Indeed, the new phenomenon is called "a run" wherein investors walk out of projects. In several projects in IT hubs, like Bangalore and Hyderabad, even genuine buyers have walked away either because of falling prices or due to non-delivery of public services dragging down prices.

It is now a classic market tied between supply and demand. Investors are trying to exit without loss and buyers stung by rising interest costs are waiting for the right deal so that they can discount a part of cost of acquisition. The sentiments have hit even realtors dealing in bungalow colonies, like in Lemoor village where Fabcity was announced in 2006 and Oxygen City in Hyderabad. Says Amit Bagaria, managing director of Asipac, a real estate marketing firm: "Over-supply in certain areas has resulted in poor demand and in such a situation it's not easy to make money."

Quite naturally, builders are pulling out all stops to woo the price-wary buyer. From asking filmstars to perform at project launches to set-

ting a Guinness World Record, builders are busy creating hype around upcoming projects. And, for those which are near completion, it's raining discounts and freebies.

So, with deals flying thick and fast, is this the right time to buy property or wait? For those looking at investment opportunities, the heydays are clearly over. The current Mexican standoff between builders and buyers is expected to come to a head this festival season. Most developers are hoping for a change in sentiments by Dussehra. With distress levels rising significantly along with the cost of money, developers believe Diwali is the real LOC in this battle. If the market doesn't revive, it would be fair to expect deeper price-cuts by the end of the year as liquidity crunch will tighten its noose around desperate developers. End-users are waiting for price-cuts to happen, says Anuj Puri, managing director of Jones Lang Lasalle Meghraj.

In this eyeball-to-eyeball contest, so far developers and buyers have held their ground. What happens in the next few weeks? Whether it will be a correction or a crash, depends on who blinks first—the buyers or the sellers. And that will determine whether the boom goes bust. ■